Innominate Terms

English contract law | Study guide | Classification and the right to terminate

1. Three categories of contractual term

Condition. Breach generally entitles the innocent party to elect to terminate and claim any recoverable damages, even if the breach causes little loss.

Warranty. Breach may give rise to damages. On that ground alone, the contract continues and the parties must still perform.

Innominate term. Breaches of the same obligation can have very different consequences. At common law, the right to terminate depends on the effects of the particular breach.

Classification starts with the contract and any applicable legislation. The wording, the contract as a whole and the commercial context inform the analysis. A term can be identified as innominate before any breach occurs.

2. The Hongkong Fir test

> Has the breach deprived the innocent party of substantially the whole benefit it was intended to receive under the contract? If it has, the breach is repudiatory and the innocent party may elect to terminate.

Assess the position at the time of purported termination. Consider the contract's purpose, the benefit that remains, steps already taken to remedy the breach and its likely future effects on the evidence then available.

3. The vessel and the remaining charter period

Hongkong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd [1962] 2 QB 26

The owners let the *Hongkong Fir* on a two-year time charter and undertook to provide a ship fit for ordinary cargo service. An insufficient and incompetent engine-room crew made the vessel unseaworthy. The delays at sea and time spent on repairs amounted to about 20 weeks in all.

The Court of Appeal treated the seaworthiness obligation as an innominate term. The charterers still stood to receive substantial use of the vessel over the remaining charter period. Their attempted termination was wrongful.

When Does Breach Justify Termination?

1. Two decisions, two routes to the answer

Cehave NV v Bremer Handelsgesellschaft mbH (The Hansa Nord) [1976] QB 44

Some citrus pulp pellets were damaged but remained usable for animal feed, their intended purpose. The obligation to ship them in good condition was an innominate term. The breach did not entitle the buyer to reject the shipment.

Bunge Corporation v Tradax Export SA [1981] 1 WLR 711

The buyer had to give at least 15 days' notice of the vessel's expected readiness. Timely notice enabled the seller to nominate the loading port and arrange shipment. The House of Lords construed the notice requirement as a condition. Its breach entitled the seller to terminate without proving serious consequences.

2. Apply the test to a service contract

A retailer hires a provider to operate its online checkout for a three-day sale. Assume the obligation to keep checkout available is innominate. In the first scenario, checkout fails briefly and is restored within an hour. In the second, checkout fails at launch and the evidence shows that it will remain unusable throughout the sale.

> The first outage leaves the principal contractual benefit available and may support a claim for provable loss. In the second scenario, the retailer is likely to lose substantially the whole benefit of the service and may have a right to terminate.

3. The election to terminate

Check any express termination provisions, including notice and cure requirements, separately. At common law, effective acceptance of a repudiatory breach generally discharges future performance while preserving accrued rights and claims for damages. A premature refusal to perform may itself be repudiatory.

Selected authorities

Hongkong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd [1962] 2 QB 26

Cehave NV v Bremer Handelsgesellschaft mbH (The Hansa Nord) [1976] QB 44

Bunge Corporation v Tradax Export SA [1981] 1 WLR 711

Telford Homes (Creekside) Ltd v Ampurius Nu Homes Holdings Ltd [2013] EWCA Civ 577, [42]-[44]

Société Générale, London Branch v Geys [2012] UKSC 63